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Taiwan Semiconductors

Mediatek and GUC riding on Google; Alchip more back-end loaded and capacity allocation is key

Laura (Chia Yi) Chen AC
+886-2-8726-9090
laura.cy.chen@citi.com

Jack Chen
+886-2-8726-9091
jack1.chen@citi.com

Nicholas Lai
+886-2-8726-9093
nicholas.lai@citi.com

CITI'S TAKE

Investors have been optimistic about AI ASIC surpassing GPU in AI computing since last year, yet due to a more fragmented supply chain and tight component/material supply, such as wafer foundry, advanced packaging, HBM and ABF, we expect Taiwanese design service companies with better supply chain management capability to stand out with positive growth outlooks into 2027. We expect Mediatek and GUC to see the strongest AI ASIC growth momentum into next year. We prefer Mediatek most thanks to its higher value content upside with its increasing contribution from I/O, top die and potentially optics and memory custom based die in the longer term.

Mediatek - AI ASIC revenue to rise 50% in 2027, continue doubling into 2028 — We estimate Mediatek's AI ASIC revenue to reach US$18bn in 2027 and expect it to further rise to US$40bn in 2028 (from previous expectations of US$13.6bn/18bn for 2027/28) mainly due to higher dollar content increase thanks to its value added not just in I/O die but also compute die. From 2028, we see Mediatek will contribute more on multiple chip tile of its client's chiplet design. Mediatek is also working on multiple opportunities in AI ASIC projects – not only chip design but also hardware L6 architecture. We expect its AI revenue to exceed its current existing business in 2 years.

GUC - CPU business upside intact in next 2 years; automotive business also showing good potential in 2028 — Thanks to solid CPU ASIC demand from its US CSP clients, we expect GUC's growth into 2027/28 to be stronger with more supply chain support. Its robotic/automotive for US client will also start contributing in late 2027/early 2028. Although its customers may look for another foundry's support besides TSMC, we expect GUC's solid partnership with TSMC to continue to be the main source for the automotive/robotic project. And GUC's CPU projects' visibility is intact through 2028. The company is also working on consumer electronics for CSP client. Along with its interconnect IP and CPO technology, we believe GUC's ASIC business growth trend remains intact.

Alchip - new product to kick off in 3Q26, suggest revisiting once 2026 expectations reset; 2027 outlook intact — We expect Alchip's revenue to snap back substantially in 2H26 thanks to its client's N3 AI accelerator ramp-up. However, due to potential capacity constraints, its client's COT business model and diversification strategy, Alchip's near-term momentum could be capped. Yet GM may see upside thanks to Alchip's back-end design contribution for more complex chip design. We would expect stronger 2027 growth once Alchip can secure more order allocation and supply.

Mediatek remains our favorite stock; Our pecking order: Mediatek > GUC > Alchip — We prefer Mediatek in AI ASIC design service thanks to its better front-end design capability in advanced node, interconnect, advanced packaging and upstream semiconductor supply chain. We also see GUC's diversification in AI ASIC/automotive/robotic, consumer product projects and strong CPU upside to support growth in the next 2-3 years. Alchip's momentum would be more back-end loaded, and we expect to see better growth into next year.

Data Summary

						Rating		Short-Term	Target Price						Current Fiscal Year EPS		Next Fiscal Year EPS	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Old	New	View	Old	New	ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	Old	New	Old	New
Alchip	3661.TW	NT$	4,215.00	346,493	06 Jul 13:30	1	nc	Upside	6,200.00	nc	47.1	0.8	47.9	Dec-25	90.64	103.06	155.14	168.72
GUC	3443.TW	NT$	4,605.00	617,125	06 Jul 13:30	1H	nc	Upside	5,550.00	6,000.00	30.3	0.4	30.7	Dec-25	51.08	49.23	88.08	101.56
MediaTek	2454.TW	NT$	4,125.00	6,616,069	06 Jul 13:30	1	nc	Upside^	5,950.00	6,055.00	46.8	1.3	48.1	Dec-25	68.28	68.11	124.07	119.47

1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk
ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change
Source: Citi Research
^Catalyst Watch

Earnings Estimates

				Last Reported Year					Current Fiscal Year					Next Fiscal Year				
Company Name	Ticker	Last Rpt Year	Currency	1Q	2Q	3Q	4Q	FY0	1Q	2Q	3Q	4Q	FY1	1Q	2Q	3Q	4Q	FY2
Alchip	3661.TW	Dec-25	NT$	17.69	16.02	16.04	17.92	67.68	17.25	24.64	25.57	35.61	103.06	31.34	37.86	45.62	53.90	168.72
Old		Dec-25	NT$	17.69	16.02	16.04	17.92	67.68	17.25	20.78	25.19	27.42	90.64	28.29	33.90	44.35	48.61	155.14
GUC	3443.TW	Dec-25	NT$	7.14	5.81	6.44	8.61	28.01	10.38	11.59	12.94	14.32	49.23	16.00	22.13	27.81	35.63	101.56
Old		Dec-25	NT$	7.14	5.81	6.44	8.61	28.01	12.23	11.59	12.94	14.32	51.08	15.02	19.58	24.75	28.74	88.08
MediaTek	2454.TW	Dec-25	NT$	18.43	17.50	15.84	14.40	66.17	15.17	15.94	18.26	18.75	68.11	21.88	24.98	32.91	39.70	119.47
Old		Dec-25	NT$	18.43	17.50	15.84	14.40	66.17	15.17	15.94	18.26	18.91	68.28	21.67	24.66	34.04	43.69	124.07

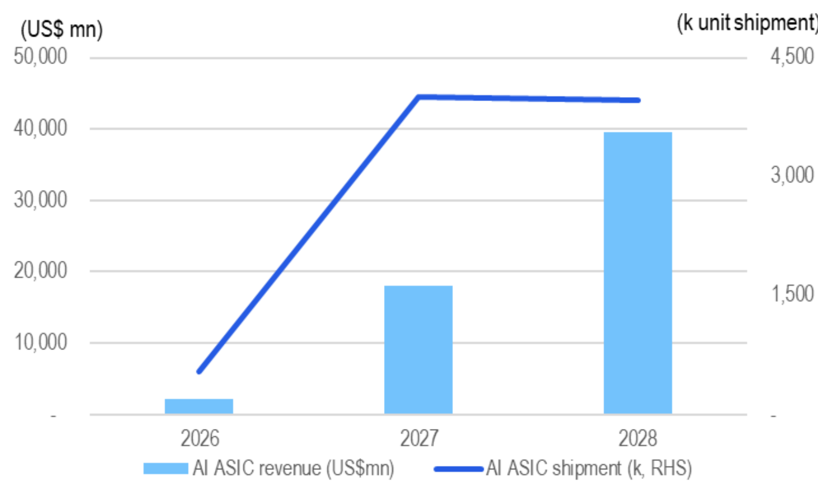
Source: Citi Research

Mediatek- AI ASIC revenue to rise 50% in 2027, continue doubling into 2028

We expect Mediatek to gain further market share in Google's growing TPU opportunity thanks to its better supply chain management capability and advanced node design capability. Other than N3 top die, Mediatek has been working on global leading 300G Serdes I/O for its next generation AI accelerator. Mediatek is also working on CPO technology with various partners such as Arya Labs and Microsoft in Micro LED CPO light source. With large-scale TPU revenue contribution, we now expect Mediatek's TPU shipment to reach 500k/4m/4m in 2026/2027/2028 with revenue contribution at US$2bn/US$18bn/US$40bn.

Mediatek - Maintain Buy and raise TP to NT$6,055 — In the near term, despite smartphone demand remaining lukewarm, thanks to better ASP we expect Mediatek to beat its 2Q revenue guidance and see c5% sequential growth in 3Q26. We slightly lower our 2026/2027 earnings projections mainly on smartphone weakness yet lift our 2028E earnings by 9%. We also raise our target price from NT$5,950 to NT$6,055 (35x PER to 2027/2028 EPS, which is 1.5-std above its 3-year average forward P/E given the promising outlook from its AI ASIC business starting from 2H26).

Figure 1. Mediatek – AI ASIC revenues and shipment forecast



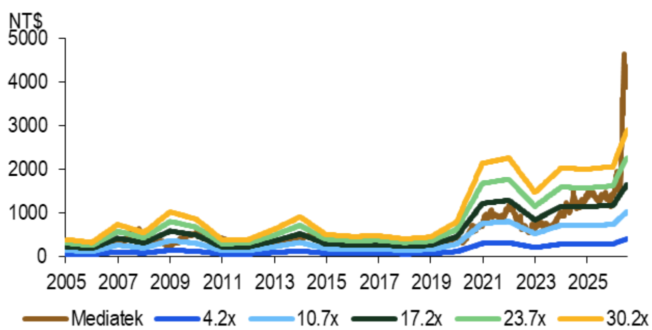
Source: Citi Research

Figure 2. Mediatek – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	616,651	619,460	-0.5%	1,083,075	1,128,745	-4.0%	2,110,784	1,928,342	9.5%
YoY growth	3%	4%		76%	82%		95%	71%	
Gross profit	284,934	286,058	-0.4%	492,443	513,381	-4.1%	943,367	861,801	9.5%
Opex	185,062	185,891	-0.4%	304,633	317,447	-4.0%	568,994	519,906	9.4%
Operating profit	99,872	100,167	-0.3%	187,810	195,934	-4.1%	374,373	341,894	9.5%
Pre-tax profit	121,102	121,397	-0.2%	211,699	219,823	-3.7%	399,316	366,837	8.9%
Net income	108,435	108,701	-0.2%	190,184	197,514	-3.7%	359,452	330,149	8.9%
EPS (NT$)	68.11	68.28	-0.2%	119.47	124.07	-3.7%	225.79	207.39	8.9%
Gross margin	46.2%	46.2%	+0.0 ppt	45.5%	45.5%	-0.0 ppt	44.7%	44.7%	+0.0 ppt
Opex ratio	30.0%	30.0%	+0.0 ppt	28.1%	28.1%	+0.0 ppt	27.0%	27.0%	-0.0 ppt
Operating margin	16.2%	16.2%	+0.0 ppt	17.3%	17.4%	-0.0 ppt	17.7%	17.7%	+0.0 ppt
Net margin	17.6%	17.5%	+0.0 ppt	17.6%	17.5%	+0.1 ppt	17.0%	17.1%	-0.1 ppt

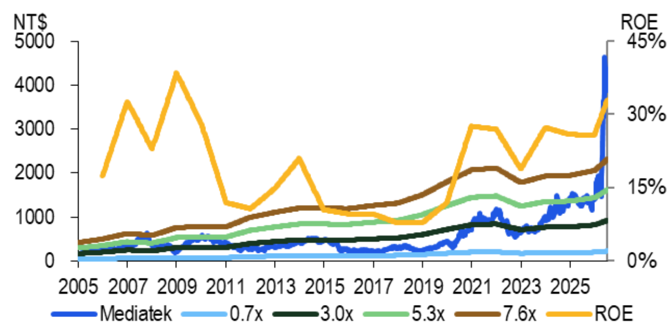
Source: Citi Research

Figure 3. Mediatek – Forward P/E band



Source: Citi Research, company data

Figure 4. Mediatek – Forward P/B band & ROE



Source: Citi Research, company data

Figure 5. Mediatek – Forecast Summary

NT$mn	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	**150,369**	**142,097**	**150,188**	**149,151**	**143,591**	**150,023**	**173,885**	**203,214**	**236,298**	**287,482**	**356,081**	**595,966**	**616,651**	**1,083,075**	**2,110,784**
Gross profit	**73,878**	**66,112**	**69,281**	**69,055**	**66,644**	**70,488**	**78,747**	**90,891**	**104,532**	**132,787**	**164,233**	**283,080**	**284,934**	**492,443**	**943,367**
OPEX	44,499	43,924	47,431	46,164	43,795	43,807	51,296	57,916	66,163	80,495	100,059	179,610	185,062	304,633	568,994
Operating profit	**29,379**	**22,188**	**21,850**	**22,891**	**22,848**	**26,681**	**27,451**	**32,975**	**38,369**	**52,292**	**64,174**	**103,470**	**99,872**	**187,810**	**374,373**
Total Non-OP	3,849	7,772	5,298	4,128	5,497	5,761	5,844	5,854	5,930	6,008	6,096	21,418	21,230	23,889	24,943
Pre-tax profit	33,228	29,960	27,147	27,019	28,345	32,442	33,295	38,829	44,299	58,301	70,270	124,888	121,102	211,699	399,316
Income tax	5,163	4,509	4,074	2,643	2,773	3,173	3,257	3,798	4,333	5,703	6,874	18,770	11,846	20,708	39,060
Net profit	**27,848**	**25,221**	**22,925**	**24,154**	**25,369**	**29,067**	**29,844**	**34,826**	**39,764**	**52,397**	**63,197**	**105,319**	**108,435**	**190,184**	**359,452**
EPS (NT$)	**17.50**	**15.84**	**14.40**	**15.17**	**15.94**	**18.26**	**18.75**	**21.88**	**24.98**	**32.91**	**39.70**	**66.17**	**68.11**	**119.47**	**225.79**
Margins (%)															
Gross profit	**49.1**	**46.5**	**46.1**	**46.3**	**46.4**	**47.0**	**45.3**	**44.7**	**44.2**	**46.2**	**46.1**	**47.5**	**46.2**	**45.5**	**44.7**
OPEX to Sales Ratio	29.6	30.9	31.6	31.0	30.5	29.2	29.5	28.5	28.0	28.0	28.1	30.1	30.0	28.1	27.0
Operating profit	**19.5**	**15.6**	**14.5**	**15.3**	**15.9**	**17.8**	**15.8**	**16.2**	**16.2**	**18.2**	**18.0**	**17.4**	**16.2**	**17.3**	**17.7**
Pre-tax profit	22.1	21.1	18.1	18.1	19.7	21.6	19.1	19.1	18.7	20.3	19.7	21.0	19.6	19.5	18.9
Net profit	**18.5**	**17.7**	**15.3**	**16.2**	**17.7**	**19.4**	**17.2**	**17.1**	**16.8**	**18.2**	**17.7**	**17.7**	**17.6**	**17.6**	**17.0**
Y/Y(%)															
Net sales	18.1	7.8	8.8	(2.7)	(4.5)	5.6	15.8	36.2	64.6	91.6	104.8	12.3	3.5	75.6	94.9
Gross profit	18.9	2.7	3.4	(6.4)	(9.8)	6.6	13.7	31.6	56.9	88.4	108.6	7.5	0.7	72.8	91.6
OPEX	19.7	8.5	4.0	5.5	(1.6)	(0.3)	8.1	25.5	51.1	83.7	95.1	11.6	3.0	64.6	86.8
Operating profit	17.7	(7.0)	2.0	(23.8)	(22.2)	20.3	25.6	44.1	67.9	96.0	133.8	1.0	(3.5)	88.1	99.3
Pre-tax profit	13.8	5.3	3.6	(21.8)	(14.7)	8.3	22.6	43.7	56.3	79.7	111.1	4.5	(3.0)	74.8	88.6
Net profit	8.3	(0.5)	(3.6)	(17.6)	(8.9)	15.3	30.2	44.2	56.7	80.3	111.8	(1.0)	3.0	75.4	89.0
Q/Q(%)															
Net sales	(1.9)	(5.5)	5.7	(0.7)	(3.7)	4.5	15.9	16.9	16.3	21.7	23.9				
Gross profit	0.1	(10.5)	4.8	(0.3)	(3.5)	5.8	11.7	15.4	15.0	27.0	23.7				
Operating profit	(2.2)	(24.5)	(1.5)	4.8	(0.2)	16.8	2.9	20.1	16.4	36.3	22.7				
Pre-tax profit	(3.8)	(9.8)	(9.4)	(0.5)	4.9	14.5	2.6	16.6	14.1	31.6	20.5				
Net profit	(5.0)	(9.4)	(9.1)	5.4	5.0	14.6	2.7	16.7	14.2	31.8	20.6				

Source: Citi Research, company data

GUC- Solid order visibility into 2028

We note that there is rising concern about GUC's CPU ASIC order sustainability and potential foundry strategy diversification from its major clients. In our view, although its customers may look for more foundry sources' support, TSMC would remain the main source; thus, GUC's order visibility in the next 2-3 years remains intact. More importantly, GUC has developed a comprehensive turnkey model that spans specification, physical implementation, advanced packaging, manufacturing enablement, and production support. GUC has emerged as a provider of chiplet-related IP. Over the past two years, GUC has introduced HBM3 and HBM4 controller and PHY solutions, UCIe chiplet interfaces, and complete 2.5D/3D ASIC services built around CoWoS and SoIC. We would expect stronger earnings momentum over the next two years thanks to strong ASIC projects pipeline and better capacity support from TSMC.

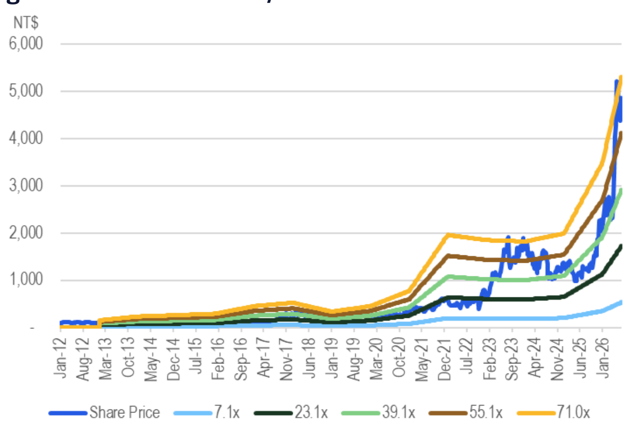
GUC - Maintain Buy/1H and raise TP to NT$6,000 — We estimate GUC's CPUs revenue from two US CSPs would be over US$1.5bn in 2027 with revenue contribution to be over 50%. Given strong order outlook from its key ASIC project, we raise our 2027/2028 earnings estimates by 15%/18%. We also maintain our Buy/High Risk rating on GUC and lift TP from NT$5,550 to NT$6,000, based on 45x PER to the average of our 2027/28E EPS, slightly above its historical 3-year PER average, which we believe is justified by its strong earnings outlook supported by solid demand from its AI projects with two US leading CSPs and growth upside from its US EV clients.

Figure 6. GUC – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	55,985	55,985	0%	99,597	92,193	8%	160,800	149,733	7%
YoY growth	64%	64%		78%	65%		61%	62%	
Gross profit	13,002	13,293	-2%	23,885	21,159	13%	37,959	33,157	14%
Opex	5,561	5,561	0%	8,171	7,567	8%	13,217	12,305	7%
Operating profit	7,441	7,732	-4%	15,714	13,592	16%	24,742	20,851	19%
Pre-tax profit	7,753	8,044	-4%	15,994	13,872	15%	25,022	21,131	18%
Net income	6,629	6,878	-4%	13,675	11,860	15%	21,394	18,067	18%
EPS (NT$)	49.23	51.08	-4%	101.56	88.08	15%	158.89	134.18	18%
Gross margin	23.2%	23.7%	-0.5 ppt	24.0%	23.0%	+1.0 ppt	23.6%	22.1%	+1.5 ppt
Opex ratio	9.9%	9.9%	+0.0 ppt	8.2%	8.2%	-0.0 ppt	8.2%	8.2%	+0.0 ppt
Operating margin	13.3%	13.8%	-0.5 ppt	15.8%	14.7%	+1.0 ppt	15.4%	13.9%	+1.5 ppt
Net margin	11.8%	12.3%	-0.4 ppt	13.7%	12.9%	+0.9 ppt	13.3%	12.1%	+1.2 ppt

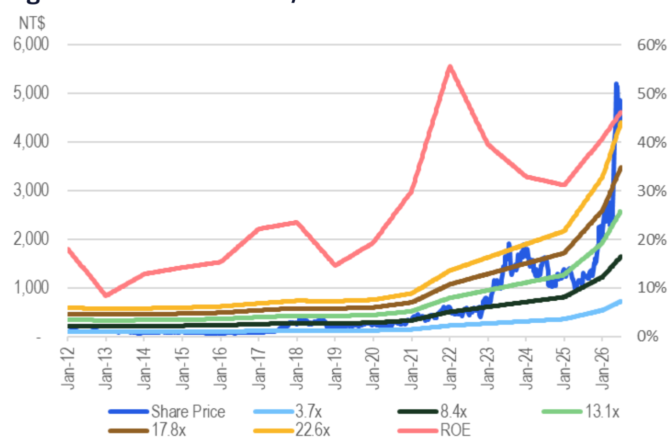
Source: Citi Research

Figure 7. GUC – Forward P/E band



Source: Citi Research, company data

Figure 8. GUC – Forward P/B band & ROE



Source: Citi Research, company data

Figure 9. GUC – Forecast Summary

GUC	2025				2026				2027							
(NT$ in Mn, year-end Dec)	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Revenue	7,024	6,105	8,613	12,400	11,448	13,032	14,889	16,616	18,271	21,910	27,856	31,560	34,141	55,985	99,597	160,800
COGS	-5,051	-4,071	-6,527	-10,038	-8,626	-9,934	-11,536	-12,887	-14,176	-16,655	-21,291	-23,590	-25,687	-42,983	-75,712	-122,841
Depreciation costs	-6	-6	-6	-6	-6	-6	-6	-6	-6	-6	-6	-6	-23	-22	-22	-22
Gross Profit	1,973	2,034	2,086	2,361	2,822	3,098	3,353	3,729	4,095	5,255	6,566	7,969	8,454	13,002	23,885	37,959
Operating Expense	-878	-1,090	-1,031	-1,105	-1,289	-1,342	-1,385	-1,545	-1,644	-1,840	-2,256	-2,430	-4,104	-5,561	-8,171	-13,217
SG&A expenses	-224	-253	-218	-224	-286	-300	-342	-382	-365	-372	-474	-537	-920	-1,311	-1,748	-2,826
R&D expenses	-800	-837	-813	-880	-1,003	-1,043	-1,042	-1,163	-1,279	-1,468	-1,783	-1,894	-3,330	-4,251	-6,423	-10,391
EBIT	1,095	944	1,055	1,257	1,533	1,756	1,968	2,184	2,451	3,414	4,309	5,539	4,350	7,441	15,714	24,742
Pre-Tax Profit	1,143	929	1,015	1,356	1,634	1,826	2,038	2,255	2,520	3,484	4,379	5,610	4,443	7,753	15,994	25,022
Tax	-181	-147	-148	-196	-237	-265	-296	-327	-365	-505	-635	-814	-673	-1,124	-2,319	-3,628
Net Profit	961	782	867	1,160	1,397	1,561	1,743	1,928	2,154	2,979	3,744	4,797	3,770	6,629	13,675	21,394
EPS (NT$)	7.14	5.81	6.44	8.61	10.38	11.59	12.94	14.32	16.00	22.13	27.81	35.63	28.01	49.23	101.56	158.89
Margins (%)																
Gross Margin	28.1%	33.3%	24.2%	19.0%	24.6%	23.8%	22.5%	22.4%	22.4%	24.0%	23.6%	25.3%	24.8%	23.2%	24.0%	23.6%
Operating Margin	15.6%	15.5%	12.2%	10.1%	13.4%	13.5%	13.2%	13.1%	13.4%	15.6%	15.5%	17.6%	12.7%	13.3%	15.8%	15.4%
Net Margin	13.7%	12.8%	10.1%	9.4%	12.2%	12.0%	11.7%	11.6%	11.8%	13.6%	13.4%	15.2%	11.0%	11.8%	13.7%	13.3%
Sequential Growth (%)																
Revenue	17%	-13%	41%	44%	-8%	14%	14%	12%	10%	20%	27%	13%	36%	64%	78%	61%
Gross Profit	-1%	3%	3%	13%	20%	10%	8%	11%	10%	28%	25%	21%	4%	54%	84%	59%
EBIT	25%	-14%	12%	19%	22%	15%	12%	11%	12%	39%	26%	29%	14%	71%	111%	57%
Net Profit	14%	-19%	11%	34%	20%	12%	12%	11%	12%	38%	26%	28%	9%	76%	106%	56%
EPS	14%	-19%	11%	34%	20%	12%	12%	11%	12%	38%	26%	28%	9%	76%	106%	56%

Source: Citi Research, company data

Alchip – N3 AI accelerator starts contributing in 2H26

We expect Alchip's revenue to snap back substantially in 2H26 thanks to its client's N3 AI accelerator ramp-up. Although its major CSP's N3 accelerator demand may reach 2m/4m units in 2026/2027, the capacity allocation will be critical for Alchip's growth. We also expect GM to be better than its previous product cycle for Alchip thanks to the company's back-end design contribution for more complex chip design.

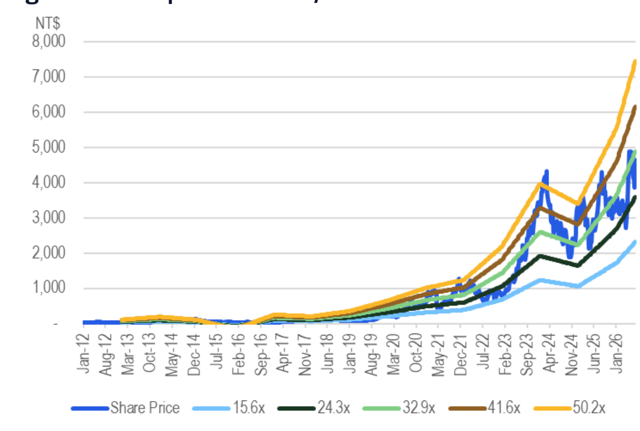
Alchip - Maintain Buy and keep our TP unchanged at NT$6,200. We raise our 2026/2027 EPS forecast by 14%/9% as we expect a solid ramp on of its client's N3 AI accelerator projects through 2H26 to 2027 but slightly lower our 2028E EPS on potential model transition. We maintain our Buy rating and keep our TP unchanged at NT$6,200, based on our 37x PER to our 2027 EPS estimates (largely in line with its 3-year PER average).

Figure 10. Alchip – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	35,401	37,178	-5%	105,120	105,283	0%	155,878	155,495	0%
YoY growth	14%	20%		197%	183%		48%	48%	
Gross profit	12,030	10,882	11%	23,507	22,108	6%	33,042	33,819	-2%
Opex	2,937	3,063	-4%	7,582	7,595	0%	11,244	11,217	0%
Operating profit	9,094	7,819	16%	15,925	14,513	10%	21,798	22,603	-4%
Pre-tax profit	10,686	9,411	14%	17,593	16,181	9%	23,466	24,271	-3%
Net income	8,533	7,505	14%	13,969	12,845	9%	18,597	19,234	-3%
EPS (NT$)	103.06	90.64	14%	168.72	155.14	9%	224.61	232.30	-3%
Gross margin	34.0%	29.3%	+4.7 ppt	22.4%	21.0%	+1.4 ppt	21.2%	21.7%	-0.6 ppt
Opex ratio	8.3%	8.2%	+0.1 ppt	7.2%	7.2%	-0.0 ppt	7.2%	7.2%	-0.0 ppt
Operating margin	25.7%	21.0%	+4.7 ppt	15.1%	13.8%	+1.4 ppt	14.0%	14.5%	-0.6 ppt
Net margin	24.1%	20.2%	+3.9 ppt	13.3%	12.2%	+1.1 ppt	11.9%	12.4%	-0.4 ppt

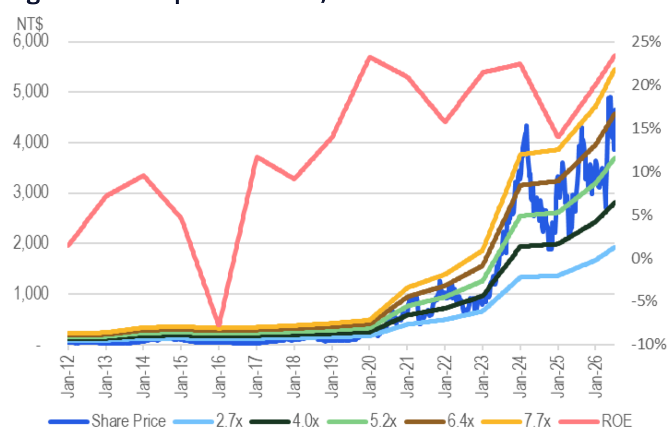
Source: Citi Research

Figure 11. Alchip – Forward P/E band



Source: Citi Research, company data

Figure 12. Alchip – Forward P/B band & ROE



Source: Citi Research, company data

Figure 13. Alchip – Forecast Summary

Alchip	2025				2026				2027							
(NT$ in Mn, year-end Dec)	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Revenue	10,485	9,144	6,570	4,727	4,187	6,029	9,421	15,764	20,069	25,190	28,420	31,441	30,926	35,401	105,120	155,878
COGS	-8,056	-7,257	-4,729	-2,730	-2,086	-3,417	-6,469	-11,399	-15,681	-19,890	-21,994	-24,049	-22,772	-23,371	-81,613	-122,836
Depreciation costs	-789	-543	-578	-667	-400	-500	-600	-700	-900	-900	-900	-900	-2,577	-2,200	-3,600	-3,600
Gross Profit	2,429	1,887	1,841	1,997	2,101	2,613	2,952	4,365	4,389	5,300	6,426	7,392	8,154	12,030	23,507	33,042
Operating Expense	-934	-737	-684	-782	-733	-422	-678	-1,103	-1,465	-1,713	-2,046	-2,358	-3,138	-2,937	-7,582	-11,244
SG&A expenses	-249	-251	-233	-197	-251	-181	-254	-394	-602	-630	-767	-943	-930	-1,081	-2,942	-4,371
R&D expenses	-467	-494	-453	-417	-482	-241	-424	-709	-863	-1,083	-1,279	-1,415	-1,831	-1,856	-4,640	-6,873
EBIT	1,494	1,150	1,157	1,215	1,368	2,191	2,274	3,261	2,924	3,587	4,380	5,034	5,017	9,094	15,925	21,798
Pre-Tax Profit	1,793	1,599	1,591	1,737	1,784	2,608	2,691	3,603	3,340	4,004	4,797	5,452	6,720	10,686	17,593	23,466
Tax	-332	-277	-265	-250	-357	-564	-570	-651	-741	-866	-1,015	-985	-1,124	-2,142	-3,607	-4,852
Net Profit	1,464	1,324	1,328	1,483	1,428	2,040	2,117	2,948	2,595	3,134	3,778	4,462	5,598	8,533	13,969	18,597
EPS - diluted (NT$)	17.69	16.02	16.04	17.92	17.25	24.64	25.57	35.61	31.34	37.86	45.62	53.90	67.68	103.06	168.72	224.61
Margins (%)																
Gross Margin	23.2%	20.6%	28.0%	42.3%	50.2%	43.3%	31.3%	27.7%	21.9%	21.0%	22.6%	23.5%	26.4%	34.0%	22.4%	21.2%
Operating Margin	14.3%	12.6%	17.6%	25.7%	32.7%	36.3%	24.1%	20.7%	14.6%	14.2%	15.4%	16.0%	16.2%	25.7%	15.1%	14.0%
Net Margin	14.0%	14.5%	20.2%	31.4%	34.1%	33.8%	22.5%	18.7%	12.9%	12.4%	13.3%	14.2%	18.1%	24.1%	13.3%	11.9%
Sequential Growth (%)																
Revenue	-20%	-13%	-28%	-28%	-11%	44%	56%	67%	27%	26%	13%	11%	-40%	14%	197%	48%
Gross Profit	-12%	-22%	-2%	9%	5%	24%	13%	48%	1%	21%	21%	15%	-20%	48%	95%	41%
EBIT	-15%	-23%	1%	5%	13%	60%	4%	43%	-10%	23%	22%	15%	-23%	81%	75%	37%
Net Profit	-20%	-10%	0%	12%	-4%	43%	4%	39%	-12%	21%	21%	18%	-13%	52%	64%	33%
EPS	-24%	-9%	0%	12%	-4%	43%	4%	39%	-12%	21%	21%	18%	-14%	52%	64%	33%

Source: Citi Research, company data

Adding Upside 90-Day Short-Term View on Alchip (3661.TW)

Direction: **Upside**
Duration: Within 90 Days
Category: Thematic driven

We expect Alchip to see better revenues momentum as its client's N3 AI accelerator starts to ramp up from 2H26 to support its share price performance.

Short-Term View on GUC (3443.TW)

Direction: **Upside**
Duration: Within 90 Days (expires 26 Jul 2026)
Date Added: 26 Apr 2026
Category: Thematic driven

We are seeing strong growth momentum from GUC's CPU project with leading CSP client in the recent quarters to provide upside to its share price.

Catalyst Watch on Mediatek (2454.TW)

Direction: **Upside**
Duration: Within 90 Days (expires 30 Jul 2026)
Date Added: 30 Apr 2026
Catalyst: Thematic driven

We expect Mediatek's upbeat outlook on its AI ASIC business and its growth opportunity in CPO development should provide an upside catalyst for its share price.

Bull/Bear: Alchip (3661.TW)

NT$7,000.00 ▲66% Upside	NT$6,200.00 ▲47% Upside	NT$4,000.00 ▼5.1% Downside

Spread 71pp
Current Price and expected returns (upside/downside) as of 06 Jul 2026

BULL Assumptions

- More-than-expected AI ASIC projects revenue contribution
- New projects wins from exist or new customers

BASE Assumptions

- Sales 2025-28E CAGR of around +50%

BEAR Assumptions

- Slower-than-expected NRE projects and revenue contribution
- Capacity constraint at advanced packaging
- More competition from its peers or/and insourcing at their customers

Bull/Bear: GUC (3443.TW)

NT$6,200.00 ▲35% Upside	NT$6,000.00 ▲30% Upside	NT$3,500.00 ▼24% Downside

Spread 59pp
Current Price and expected returns (upside/downside) as of 06 Jul 2026

BULL Assumptions

- Stronger projects demand from US CSP customers
- Stronger-than-expected NRE demand from HPC

BASE Assumptions

- Smooth project progress with US customers in advanced node demand

BEAR Assumptions

- Slower projects demand from US CSP customers
- Weaker-than-expected NRE demand from HPC

Bull/Bear: Mediatek (2454.TW)

NT$ 6,500.00 ▲58% Upside	NT$ 6,055.00 ▲47% Upside	NT$ 4,000.00 ▼3.0% Downside

Spread 61pp
Current Price and expected returns (upside/downside) as of 06 Jul 2026

BULL Assumptions

- Higher than expected AI ASIC development
- Stronger than expected margins expansion
- Bull case TP is based on its peak cycle valuation of 37x PER to 2027/28E EPS

BASE Assumptions

- 2027/28E GM of >45%
- 2027/28E OPM of >16%

BEAR Assumptions

- Lower than AI ASIC development
- Worse than expected margins declines
- Bear case TP is based on 23x PER (the mid-point of its historical valuation) to 2027/28E EPS

Alchip

Company description

Alchip is a leading provider of silicon design and manufacturing service, specializing in ASIC (Application-Specific Integrated Circuit) design, development, and production. Founded in 2003, the company has >1,000 employees and operates in Taipei, Shanghai, Japan, Korea, and the US. Alchip serves a wide range of industries, including automotive, industrials, consumer electronics, and computing.

Investment strategy

We rate Alchip as Buy. We expect Alchip to deliver a strong snapback in 2026/27 with its N3 project ramping up. Moreover, we are also positive over the long-term growth opportunity from its AI ASIC projects with its major CSP client. Alchip remains one of the few design service providers within TSMC's 3DFabric alliance. In our view, if CSPs work more aggressively on their internal design and become more competitive on product offerings, Alchip would be well positioned as a back-end/turnkey partner.

Valuation

Our target price for Alchip of NT$6,200 is based on 37x 2027E EPS. 37x target PER is largely in line with its historical 3-year PER range, which we see it as justified on account of strong growth potential of its AI ASIC projects with its key CSP client, with better project cycle and strong growth momentum resuming next year. Our target price equates to 2026/27E P/B of 10x/8x.

Risks

Key downside risks to our target price include: 1) slower-than-expected NRE projects and revenue contributions; 2) capacity constraints at advanced packaging; and 3) more competition and/or insourcing by customers.

GUC

Company description

Founded in 1998, Global Unichip (GUC) specializes in providing IC design services, particularly in ASIC service. As a subsidiary of TSMC, which holds 34.8% of GUC, it offers a wide range of design services including spec-in and SoC integration, physical implementation, 2.5D/3D packaging technologies, mass production services, and advanced technologies such as high bandwidth memory (HBM) and chip to chip interconnect IP. With its diversified global presence – Taiwan, North America, China, Europe, South Korea, and Japan – the company offers services including mass production, NRE, customer wafer verification projects, and IP licensing. Mass production services provide customers with complete service, from back-end design completion to wafer manufacturing, testing and management.

Investment strategy

We rate GUC stock as Buy/High Risk. We are seeing strong growth from its CPU projects with two leading CSP customers. We also see strong order potential from its EV clients. Long-term, we still believe back-end design capability and 3DIC system integration will be critical to AI accelerators, which would give better opportunities for TSMC 3DFabric partners with GUC also being a beneficiary, in our view.

Valuation

Our target price for GUC of NT$6,000 is based on 45x PER to the average of our 2027/28E EPS, slightly above its historical 3-year PER average which we believe is justified by its strong earnings outlook supported by solid demand from its AI projects with two US leading CSPs and growth upside from its US EV clients. Our target price equates to 2027/28E PB of 24x/15x.

Risks

Our quant risk rating system rates the GUC stock High Risk for its share-price volatility. Downside risks that could mean the stock trades below our target price include: 1) slower projects demand from US CSP customers, 2) lower-than-expected NRE demand from less AI ASIC projects, and 3) delayed or less turnkey revenues contribution from key customers.

Mediatek

Company description

MediaTek (MTK) is a fabless IC company that designs SoC for smartphone, smart TV, and digital media devices. It also develops chips for connectivity, networking, smart home gadgets, and automotive sectors. It was founded in 1997, is listed on the Taiwan Stock Exchange, and is headquartered in Taiwan. It has sales and research subsidiaries in mainland China, Singapore, India, the US, Japan, Korea, Denmark, and England. It primarily sells its products in China and other emerging-market countries.

Investment strategy

We rate MediaTek shares as Buy. We expect Mediatek to ride on 5G migration in emerging markets and market share gain of its high-end Dimensity series in China market as well. In particular, we are seeing strong growth potential from its AI ASIC, NTN-satellite business in the long term. We believe solid fundamentals and strong operating leverage will support Mediatek’s margins outlook.

Valuation

Our NT$6,055 target price for MediaTek is based on 35x P/E to 2027/2028 EPS, which is 1.5-std above its five-year average forward P/E given the promising outlook from its AI ASIC business starting from 2H26. We believe our target PE is also justified by Mediatek's global and regional peers' trading at an average of 36x PER. AI ASIC development with CSPs should provide more upside from 2027 onwards. We also see Mediatek well prepared for 6G and 6G+NTN Satellite communication. Despite lukewarm smartphone overall deamand, we expect Mediatek to benefit from 5G migration in emerging markets and its Dimensity series should also gain shares in flagship models. Non-smartphone business is also seeing stabilizing TV and IoT demand with

Mediatek outgrowing the overall market on its better technology in WiFi 7 and connectivity.

Risks

Key downside risks that could prevent the shares from reaching our target price include: 1) weaker-than-expected growth from AI ASIC business; 2) more severe competition in the smartphone segment; 3) slower overall demand related to macroeconomic risks, especially for smartphone demand; and 4) further price hikes from foundries.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

GUC (3443.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen

	Date	Rating	Target Price	Closing Price
1	28-Jul-23 15:06:57	*3H	*1,540.00	1,815.00
2	10-Dec-23 22:11:06	3H	*1,440.00	1,895.00
3	25-Apr-24 19:13:09	*1H	*1,500.00	1,200.00
4	20-Jun-24 04:12:46	1H	*2,040.00	1,625.00
5	26-Jul-24 10:14:16	1H	*1,760.00	1,335.00
6	07-Feb-25 13:35:43	1H	*1,750.00	1,380.00
7	24-Apr-25 18:56:50	1H	*1,200.00	964.00
8	02-Jul-25 10:54:37	*3H	*1,225.00	1,325.00
9	07-Oct-25 23:46:05	*1H	*1,850.00	1,385.00
10	02-Jan-26 11:31:34	1H	*2,725.00	2,185.00
11	26-Apr-26 21:10:44	1H	*5,050.00	4,035.00
12	01-May-26 14:30:23	1H	*5,550.00	4,260.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Alchip (3661.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen

	Date	Rating	Target Price	Closing Price
1	20-Aug-23 18:42:38	1	*2,310.00	1,970.00
2	25-Sep-23 23:40:21	1	*3,080.00	2,625.00
3	02-Nov-23 19:35:26	1	*3,280.00	2,820.00
4	10-Dec-23 22:11:06	1	*3,840.00	3,335.00
5	20-Feb-24 08:20:35	1	*4,850.00	4,150.00
6	25-Apr-24 19:13:09	1	*3,900.00	2,830.00
7	25-Aug-24 17:11:26	1	*3,700.00	2,655.00
8	24-Oct-24 11:30:35	*2	*2,000.00	1,980.00
9	01-Nov-24 09:43:49	2	*2,200.00	2,030.00
10	09-Feb-25 15:55:03	2	*3,815.00	3,605.00
11	27-Feb-25 10:20:56	2	*3,700.00	3,285.00
12	01-May-25 14:24:22	2	*2,400.00	2,125.00
13	02-Jul-25 10:54:37	2	*3,180.00	3,190.00
14	13-Aug-25 10:10:55	*1	*4,800.00	4,120.00
15	06-Mar-26 09:46:22	1	*4,200.00	3,310.00
16	08-May-26 12:27:59	1	*6,200.00	4,890.00

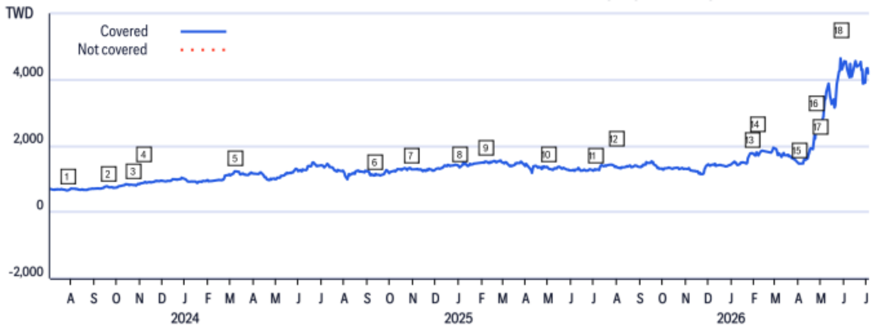
*Indicates Change

Rating/target price changes above reflect Eastern Time

Mediatek (2454.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



#	Date	Rating	Target Price	Closing Price
1	28-Jul-23 11:22:19	2	*660.00	658.00
2	20-Sep-23 14:57:20	2	*735.00	759.00
3	24-Oct-23 12:02:27	*1	*935.00	816.00
4	06-Nov-23 16:50:42	1	*1,030.00	882.00
5	10-Mar-24 16:15:26	1	*1,420.00	1,230.00
6	11-Sep-24 10:08:27	1	*1,250.00	1,110.00
7	30-Oct-24 10:35:19	1	*1,420.00	1,290.00
8	02-Jan-25 08:42:43	1	*1,580.00	1,350.00
9	07-Feb-25 11:57:14	1	*1,800.00	1,525.00
10	30-Apr-25 10:15:39	1	*1,600.00	1,350.00
11	02-Jul-25 10:54:37	1	*1,450.00	1,295.00
12	30-Jul-25 08:56:32	1	*1,540.00	1,380.00
13	28-Jan-26 07:35:51	1	*2,200.00	1,780.00
14	04-Feb-26 07:24:16	1	*2,350.00	1,800.00
15	01-Apr-26 13:20:42	1	*2,125.00	1,465.00
16	26-Apr-26 21:10:44	1	*2,800.00	2,435.00
17	30-Apr-26 11:24:47	1	*3,100.00	2,610.00
18	27-May-26 09:26:19	1	*5,950.00	4,640.00

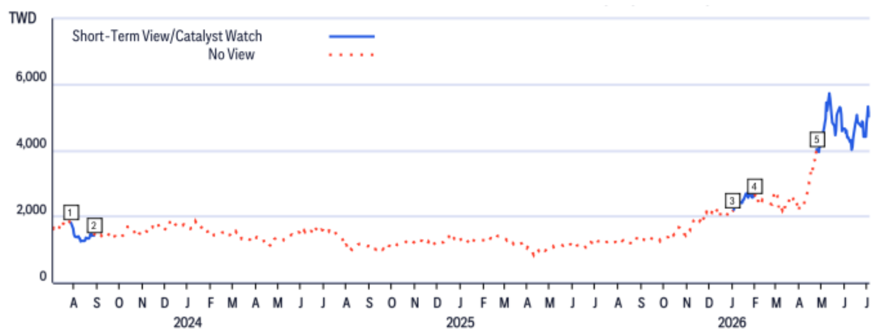
*Indicates Change

Rating/target price changes above reflect Eastern Time

GUC (3443.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



#	Date	Action	Expected Direction	Duration	Closing Price
1	29-Jul-23 01:08:51	Add CW	Downside	30 Days	1,815.00
2	28-Aug-23 11:44:27	Remove CW	Downside	30 Days	1,430.00
3	02-Jan-26 06:31:34	Add STV	Upside	30 Days	2,185.00
4	01-Feb-26 19:57:44	Remove STV	Upside	30 Days	2,620.00
5	26-Apr-26 17:10:44	Add STV	Upside	90 Days	4,035.00

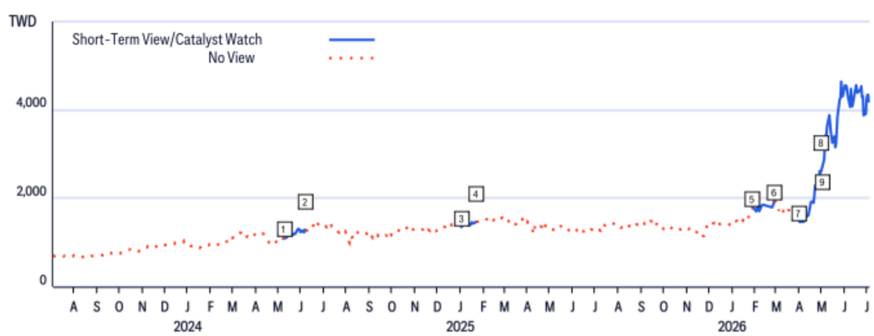
CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Mediatek (2454.TW)

Short-Term View/Catalyst Watch Research

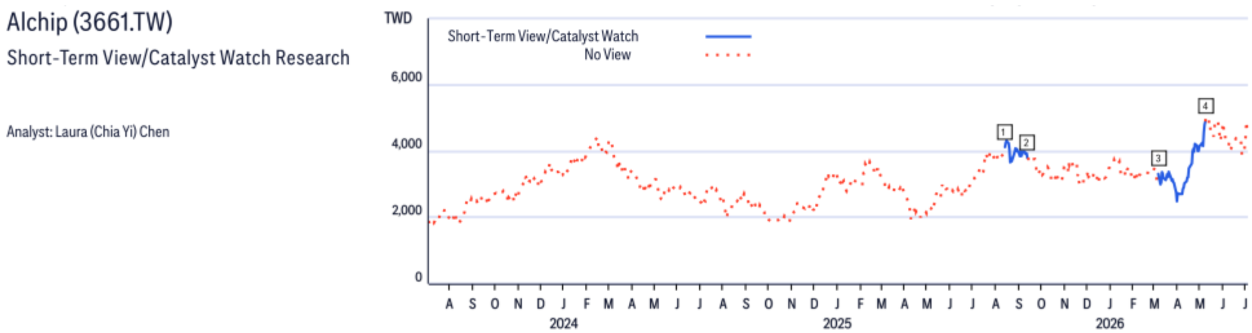
Analyst: Laura (Chia Yi) Chen



#	Date	Action	Expected Direction	Duration	Closing Price
1	10-May-24 03:08:23	Add CW	Upside	30 Days	1,095.00
2	07-Jun-24 12:03:57	Remove CW	Upside	30 Days	1,275.00
3	02-Jan-25 03:42:43	Add CW	Upside	30 Days	1,350.00
4	31-Jan-25 12:14:36	Remove CW	Upside	30 Days	1,465.00
5	28-Jan-26 02:35:51	Add STV	Upside	30 Days	1,780.00
6	27-Feb-26 12:27:51	Remove STV	Upside	30 Days	1,945.00
7	01-Apr-26 09:20:42	Add STV	Upside	90 Days	1,465.00
8	30-Apr-26 07:24:47	Remove STV	Upside	90 Days	2,610.00
9	30-Apr-26 07:24:47	Add CW	Upside	90 Days	2,610.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time



	Date	Action	Expected Direction	Duration	Closing Price
1	13-Aug-25 06:10:55	Add STV	Upside	30 Days	4,120.00
2	12-Sep-25 14:04:30	Remove STV	Upside	30 Days	3,790.00
3	06-Mar-26 04:46:22	Add STV	Downside	90 Days	3,310.00
4	08-May-26 08:27:59	Remove STV	Downside	90 Days	4,890.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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